

seen almost no credit cost,” says Manish Jain, Executive Director at YES Bank who handles the Corporate & Wholesale Banking business.

Commercial banking, which includes mid-corporates and small and medium enterprises (SMEs), forms around 35% of the loan book, while pure retail lending contributes about 40%. “This diversification ensures that if there is an adverse credit cycle in any one segment, the other segments can provide stability and support,” says Kumar.

But despite the restructuring, India’s sixth largest private bank has yet to script a meaningful turnaround. Profits remain modest, performance ratios subdued, and shareholder returns elusive.

Can SMBC script the long-awaited turnaround?

THE JAPANESE CHAPTER

SMBC’s intention is reflected in its choice of leadership. Nishino, a seasoned professional, brings over three decades of experience in corporate and investment banking and structured finance. Kannan has been the Head of SMBC’s Indian unit since April 2020.

44 | Far from non-executive bankers, the duo is driving SMBC’s strategic push beyond Japan (*See Box: Sun Rises Over YES Bank*). Domestic brokerage firm Emkay Global believes SMBC’s entry could lead to one more reset at YES on the asset front, mainly in retail and SME, apart from access to a sustained source of capital, enhanced governance, introducing fresh blood in the management, and possibly some portfolio clean-up. “The existing strategy remains solid for stability, but SMBC’s collaboration adds international synergies, helping the bank compete better in retail, SMEs, and emerging sectors. No radical changes are expected soon, as SMBC emphasises supportive partnership over control,” says Datt Jadhav, founder of White Stone Advisory. (*See New Business Mix*)

The Japanese team now has to add new lines and improve returns. Net interest margins (NIMs), return on equity (RoE), and return on assets (RoA) continue to trail pre-crisis levels—and may take longer to fully revert to the peak, given the lower-risk and diversified secured business model. (*See box: The Revival Story*)

While the RBI has clarified that SMBC will not be classified as YES Bank’s promoter, there is a strong possibility that the Japanese major could raise its stake further to gain greater strategic influence over the bank’s direction. As of now, both the banks have denied this. (*See Box: Open doors*)

Kumar has set the foundation for higher profitability, the bank’s top priority now. “The bank has taken a



“FOR THE FIRST TIME, WE HAVE A PATIENT, STRATEGIC PARTNER”

Prashant Kumar, YES Bank MD and CEO, on synergies with the bank’s largest shareholder, SMBC

When Prashant Kumar, a seasoned State Bank of India veteran, took charge of the troubled YES Bank after its 2020 restructuring, it was in a shambles. Five years later, Kumar is on a six-month extension till April 2026, setting the stage for Sumitomo Mitsui Banking Corporation (SMBC) to select his successor. This chapter will test YES Bank’s ability to steer towards sustained growth and align with SMBC’s global vision. At the bank’s Mumbai headquarters, Kumar sat down with BT to discuss the bank’s future. Edited excerpts:



On the wave of deals

in the banking sector

There is a clear need to create larger banks in India to support the ambitious growth target set by the government. We have seen significant consolidation among public banks, but in the private sector, the only way to build scale is by bringing in the right kind of capital. The main sources of capital for private banks are corporate houses, private equity, and foreign banks. However, corporate houses are restricted by the RBI’s regulation, and private equity investors typically have a very short horizon, which isn’t ideal for banking. That leaves only foreign banks,